

Problem Set: Poverty Assessment in Malawi

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I. Critical Review of Malawi Poverty Assessment

1.1. What Issues Motivated the Report?

Malawi presents a notable outlier in sub-Saharan Africa: a country experiencing sustained economic growth while poverty remains entrenched and, in some dimensions, worsening. Between 2004 and 2011, GDP grew at an average of 5.9% annually, yet national monetary poverty declined only marginally from 52.4% to 50.7%, and the absolute number of poor increased by roughly 700,000, driven by a rapidly growing, disproportionately young population. Comparable growth in neighbouring countries produced far larger reductions in poverty incidence. Malawi's growth elasticity of poverty was exceptionally low: a 13% increase in per capita consumption between 2004 and 2010 yielded only a 1.7 percentage point decline in the headcount.

This stagnation masks a stark urban–rural divergence. Urban poverty fell from 25.4% to 17.3%, while rural poverty rose slightly from 55.9% to 56.6%, and extreme rural poverty climbed from 24.2% to 28.1%. With roughly 95% of Malawi's poor residing in rural areas, national averages obscure worsening depth and severity of deprivation. Rural per capita caloric intake declined, and the number of ultra-poor households grew substantially.

Economic growth further exacerbated inequality. Between 2004 and 2010, real consumption of the bottom 40% fell by 5%, while the top 10% saw incomes rise by 30%, pushing the Gini coefficient from 0.39 to 0.45. Growth was driven by urban-oriented services and extractive industries, leaving agriculture behind.

Compounding these dynamics, Malawi's social protection system is chronically underfunded, characterised by high leakage, limited coverage, and minimal impact relative to the scale of need. Together, these dynamics create conditions in which poverty is not merely persistent but self-reinforcing, and the chronically poor are systematically excluded from assets, services, and institutions that could support upward mobility.

What Analytical Tools Did the Report Use to Analyze Poverty and Inequality?

The assessment draws on cross-sectional and panel household survey data, primarily IHS2, IHS3, and IHPS 2013 which tracks households interviewed in IHS3. As data was not collected during the lean season, when poverty typically increases, poverty statistics should be understood as the lower-bound for the actual poverty in Malawi. Poverty incidence, depth, and severity were measured using Foster–Greer–Thorbecke (FGT) indices (P_0 , P_1 , P_2), while consumption inequality was assessed with the Gini coefficient and Generalised Entropy indices, allowing decomposition within and between subgroups.

Multidimensional poverty was captured using the MPI, reflecting deprivations in health, education, and living

standards, enabling comparison with monetary trends. Growth Incidence Curves (GICs) visualised consumption growth across welfare percentiles, highlighting whether gains were pro-poor. The Human Opportunity Index (HOI) measured equity of access to foundational services among children based on circumstances beyond their control.

Panel data techniques classified households as chronically poor, transient poor, or never poor. Probit regressions estimated household and community factors affecting persistent poverty. The Datt–Ravallion decomposition distinguished contributions of growth versus redistribution, and Principal Components Analysis (PCA) constructed indices for assets, wealth, and education. Spatial analysis mapped district-level poverty and inequality to reveal geographic clusters of deprivation.

What Are the Main Results from the Poverty Assessment?

The results show that poverty in Malawi was systematically unimproving, worsening in severity for those at the bottom of the distribution, and resistant to the mechanisms that drove poverty reduction elsewhere in the region. Urban–rural divergence is the defining structural feature of poverty. Urban areas experienced modest improvement, while rural households faced rising moderate and extreme poverty and declining living standards.

Agriculture, the primary rural livelihood, lagged behind the growth observed in urban services and extractive industries, generating a structurally anti-poor growth pattern. Malawi made measurable progress in reducing multidimensional poverty, but progress was driven largely by expanded public access rather than improved quality. Evidence suggests that human capital development has not translated into higher consumption or improved labour market outcomes.

Panel data highlighted persistent chronic poverty: roughly 23% of the population remained poor between 2010 and 2013, accounting for nearly 60% of overall poverty. These households were concentrated in rural South and Central regions and are characterised by geographic remoteness, higher dependency ratios, lower education, and limited income diversification. Two-thirds of the population experienced minimal upward mobility, and even gains among transient poverty escapees were fragile.

The social protection system failed to counteract these dynamics. Existing programmes suffer from poor geographic targeting, insufficient coverage, and limited responsiveness to vulnerability. Transfers are often too small or misallocated, preventing effective support for ultra-poor households and constraining the protective capacity of the system.

What Are the Main Policy Recommendations?

Long Term – Structural Reform

The report identifies human capital formation and agricultural productivity as the most durable pathways out of chronic poverty. Girls’ secondary education is pivotal, as fertility declines and lifetime earnings gains emerge predominantly at post-primary levels. Complementary interventions include reducing child marriage and early childbearing and broadening access to contraception.

Across services, the report emphasises improving quality over expanding access, since rising enrolment has not yet translated into learning outcomes or labour market returns. On the productivity side, the Farm Input Subsidy Programme (FISP) should be refocused on raising yields and separated from its safety net function, complemented by irrigation, improved seeds, and stronger extension services.

Expanding road infrastructure and formal credit access is critical to reduce transaction costs, improve market connectivity, and enable income diversification. Probit results indicate that non-agricultural income significantly reduces the probability of remaining poor, making targeted skills training a high-return investment.

Short Term – Immediate Relief

Given fragile rural livelihoods, the report stresses urgent short-term reform. The Social Cash Transfer Programme (SCTP) shows positive impacts on consumption and asset investment, but coverage is minimal, requiring expansion in scope and transfer size. Public works schemes under MASAF are insufficient, with transfer levels and workdays too small to meaningfully affect food security. Proxy Means Testing could reduce leakage to non-poor households.

The report underscores the need for a shock-responsive system to prevent repeated reversals of welfare gains. These reforms would require a sustained increase in social protection expenditure, currently far below international benchmarks and the scale of Malawi’s poverty challenge.

1.2. With a focus on the heterogeneity of poverty, indicate which aspects of poverty appear to be most in need of detailed analysis when making a poverty assessment for Malawi.

Aggregate poverty statistics in Malawi can be misleading, conflating populations with fundamentally different poverty trajectories, access to resources, and structural constraints. A rigorous poverty assessment must therefore disaggregate along several key dimensions:

- **Geographic and spatial disparities:** Urban areas have shown notable improvements while rural areas stagnate, meaning national averages obscure worsening outcomes. District-level analysis highlights concentrated deprivation and areas of rapid decline. The strong link between road distance and poverty underscores connectivity as a key driver of spatial disadvantage, making place-based analysis essential for targeted interventions.
- **Chronic versus transient poverty:** Distinguishing persistently poor households from those moving in and out of poverty is critical, as each faces different risks. Chronically poor households generally have fewer assets, lower education, and weaker connectivity than transiently poor households. Identifying the structural factors trapping this group is necessary to inform specifically designed interventions.
- **Demographic composition and household structure:** Household characteristics strongly influence poverty. Female-headed households, high dependency ratios, and larger shares of children and elderly are overrepresented among the poor. Persistent constraints on women’s education and economic participation necessitate gender-disaggregated analysis to understand how intrahousehold dynamics reinforce poverty and its intergenerational transmission.

- **Monetary–non-monetary disconnect:** Malawi’s gains in multidimensional indicators alongside stagnant monetary poverty raise key questions about whether improvements in health and education translate into higher consumption or remain as isolated service gains. Assessing service quality, not just access, is crucial to understand whether benefits reach the poorest or primarily aid better-off households.
- **Vulnerability, seasonality, and shock exposure:** Vulnerability is distinct from current poverty. Households not currently poor may face high risks during lean seasons or climatic shocks. Seasonal food insecurity and shock exposure mean point-in-time measures systematically understate deprivation, failing to capture the full welfare picture.
- **Inequality of opportunity and access:** The Human Opportunity Index assesses how access to foundational services is shaped by circumstances of birth. Understanding how opportunity gaps reinforce income poverty is essential for interventions that disrupt, rather than perpetuate, cycles of chronic deprivation.

A meaningful poverty assessment in Malawi cannot rely on national-level aggregates alone. Poverty is heterogeneous across space, time, household structure, and access to opportunities, and this heterogeneity is constitutive of the analysis. Identifying explicitly who is poor, why they remain poor, and what prevents their exit from poverty is foundational. This requires an intersectional approach that recognises the fundamentally diverse and complex nature of deprivation in Malawi.

II. Our Poverty Assessment

2.1 Correlates of poverty

In the latest installment of the Integrated Household Survey (IHS5), persistent differences exist between the ultra-poor and poor cohorts of the population and the poor and non-poor across different observable characteristics and correlates (Table 1). Disaggregated further to highlight the heterogeneity of poverty, there are significant differences:

- **For female-headed households:** Non-poor households are less likely to have a female head, with an average of 28.4% compared to 31.2% and 35.4% for poor and ultra-poor households respectively. These differences are also significant between non-poor/poor and poor/ultra-poor households.
- **In the educational attainment of household heads:** Households in poverty are substantially more likely to have a household head with at most primary education. Around 62.0% of ultra-poor households and 61.7% of poor households fall into this category, compared with 46.7% of non-poor households. While the difference between ultra-poor and poor households is not statistically significant, the difference between poor and non-poor households is highly significant.
- **In rural and urban incidence:** Poverty is strongly associated with rural residence. Approximately 97.0% of ultra-poor households and 92.5% of poor households live in rural areas, compared with 73.7% of non-poor households. These differences are statistically significant between both groups.

- **Highlighting geographic disparities (South, Centre and North):** Regional differences are also evident. Ultra-poor and poor households are more concentrated in the South and Centre, while non-poor households are more likely to be located in the North. For instance, only 7.3% of ultra-poor households live in the North compared with 12.9% of poor households and 24.3% of non-poor households. Differences across regions are statistically significant between poverty groups.
- **In household business ownership rates:** Ownership of a household business is more common among better-off households. Only 4.4% of ultra-poor households report owning a business compared to 6.0% of poor households and 9.6% of non-poor households. The differences are statistically significant, particularly between poor and non-poor households.
- **In access to running water:** Access to running water in the dwelling is extremely limited among poorer households with only 0.1% of ultra-poor households and 0.4% of poor households reportedly having running water, compared with 4.8% of non-poor households. While the difference between ultra-poor and poor households is weakly significant, the difference between poor and non-poor households is highly significant.
- **In household size:** Poorer households tend to be significantly larger. Ultra-poor households have an average size of 5.8 members and poor households 5.1 members, compared with 3.8 members among non-poor households.
- **In the number of persons in room:** Overcrowding is also higher among poorer households. Ultra-poor households have on average 2.64 persons per room, compared with 2.09 for poor households and 1.50 for non-poor households, with statistically significant differences between groups.
- **In per capita consumption:** There are also large differences in consumption levels across poverty groups. Ultra-poor households have an average per capita consumption of MWK 78,716, while poor households average MWK 133,081 and non-poor households MWK 390,596. These differences are statistically significant and reflect the stark welfare gap between groups.
- **In food's share of consumption:** The share of consumption devoted to food is higher among poorer households. Ultra-poor and poor households spend roughly 60% of consumption on food (60.1% and 60.0% respectively), compared with 56.5% among non-poor households. While the difference between ultra-poor and poor households is not statistically significant, the difference between poor and non-poor households is statistically significant.

2.2 Poverty profile

The poverty profiles compare the cumulative distribution of log per capita expenditure for Malawi in IHS4 (2016/17) and IHS5 (2019/20 (Figure 1). The IHS5 distribution lies consistently to the right of the IHS4 distribution across most of the expenditure range, indicating that households in 2019/20 generally have higher consumption levels than in 2016/17. This rightward shift suggests an improvement in welfare and a reduction in poverty over the period. At the respective poverty lines for each survey year, the cumulative distribution is lower for IHS5, implying a smaller share of the population living below the poverty threshold in 2019/20. Importantly, the two curves do not cross within the relevant range of expenditures, meaning that the ordering of welfare distributions remains consistent regardless of the precise poverty line chosen within

Table 1: Correlates of Poverty – IHS5 Malawi (2019/20)

Variable	Mean			P-value	
	Ultra-poor	Poor	Non-poor	UP vs P	P vs NP
<i>Panel A: Binary characteristics</i>					
Female head	35.4%	31.2%	28.4%	0.004***	0.006***
Head < primary education	62.0%	61.7%	46.7%	0.843	0.000***
Rural	97.0%	92.5%	73.7%	0.000***	0.000***
Lives in South	44.6%	49.1%	45.7%	0.003***	0.002***
Lives in Centre	48.1%	38.0%	30.0%	0.000***	0.000***
Lives in North	7.3%	12.9%	24.3%	0.000***	0.000***
HH owns business	4.4%	6.0%	9.6%	0.021**	0.000***
Running water in dwelling	0.1%	0.4%	4.8%	0.096*	0.000***
<i>Panel B: Continuous characteristics</i>					
Household size	5.8	5.1	3.8	0.000***	0.000***
Persons per room	2.64	2.09	1.50	0.000***	0.000***
Per capita consumption (MWK)	78,716	133,081	390,596	0.000***	0.000***
Food share of consumption	60.1%	60.0%	56.5%	0.795	0.000***

*** indicates a 1% significance level, ** 5%, and * 10%. Binary variables were tested with the χ^2 test; and continuous variables with the t-test.

Units: Binary variables are reported as %. PCE is reported in in nominal MWK. And these are unweighted estimates.

this interval. As a result, the conclusion that poverty declined between the two survey rounds appears robust to reasonable changes in the poverty line and suggests broad-based improvements in living standards during this period.

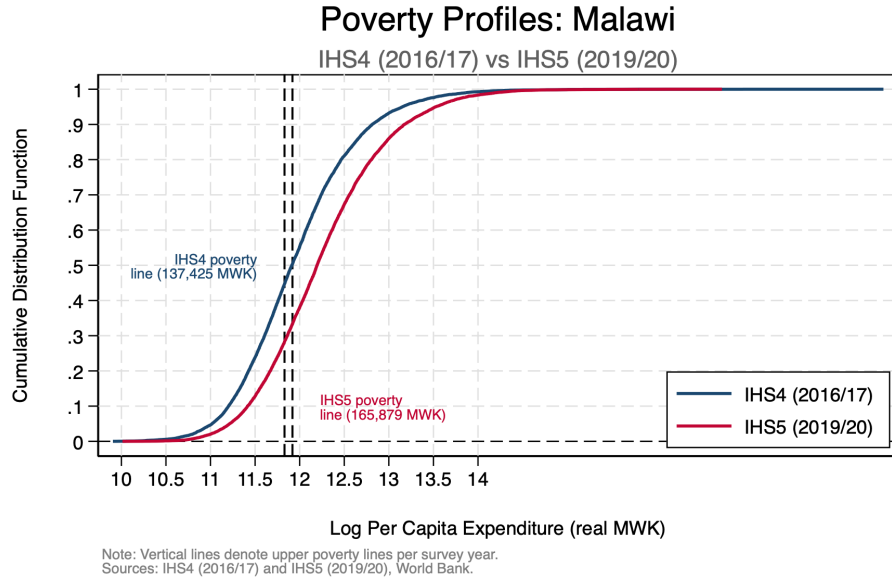


Figure 1: Poverty profiles

2.3 Poverty indicators

The FGT poverty indicators show a consistent decline in poverty between the IHS4 and IHS5 survey rounds (Table 2). The headcount ratio (P_0) falls from 44.73% to 39.08%, indicating that the share of the population living below the poverty line declined by around 5.65 percentage points over this period. The poverty gap (P_1) also declines from 13.93% to 12.28%, suggesting that the average shortfall of poor households' consumption from the poverty line decreased, meaning that the poor are, on average, slightly closer to the poverty line than before. Similarly, the poverty severity index (P_2) falls from 5.92% to 5.26%, indicating a modest reduction in inequality among the poor and an improvement in the welfare of the poorest households. Taken together, these indicators suggest that poverty in Malawi declined not only in incidence but also in depth and severity between the two survey periods.

Table 2: FGT Poverty Indicators: IHS4 (2016/17) vs IHS5 (2019/20)

Indicator	IHS4 2016/17	IHS5 2019/20	Change
P_0 (Headcount ratio)	44.73%	39.08%	-5.65 ppt
P_1 (Poverty gap)	13.93%	12.28%	-1.65 ppt
P_2 (Poverty severity)	5.92%	5.26%	-0.66 ppt
Note: Unweighted estimates. The poverty line is the official upper poverty line.			

The subgroup analysis of the headcount ratio (P_0) also provides further insight into the structure of poverty in Malawi (Table 3). Poverty is overwhelmingly concentrated in rural areas, where 45.02% of households are poor compared with only 12.52% in urban areas, a 32.50 percentage point gap. This highlights the strong spatial dimension of poverty and reflects the continued reliance of rural households on low-productivity agricultural livelihoods. Educational attainment of the household head is also strongly associated with poverty outcomes: households whose head has at most primary education have a poverty rate of 43.46%, compared with 31.35% among households where the head has more than primary education. This suggests that human capital plays an important role in shaping economic opportunities and living standards. Overall, these patterns highlight the importance of policies that improve rural productivity and expand access to education.

Table 3: P_0 Headcount Ratio by Subgroup – IHS5 Malawi (2019/20)

Subgroup	P_0	N
<i>Panel A: By Residence</i>		
Rural	45.02%	9342
Urban	12.52%	2092
Difference (R-U)	32.50 ppt	
<i>Panel B: By Head's Education</i>		
At most primary	43.46%	7297
More than primary	31.35%	4137
Difference	12.11 ppt	
Note: Again these are unweighted estimates.		

III. Inequality Assessment

3.1 Inequality Indicators

This section assesses inequality in Malawi from 2016/17 using IHS4 compared to 2019/20 using IHH5, with two World Bank inequality indicators, namely the Gini coefficient and Theil Index ¹.

Table 4: Inequality Indices

	Urban		Rural	
	2016–2017	2019–2020	2016–2017	2019–2020
Gini	0.48	0.43	0.35	0.37
Theil Index (GE(1))	0.81	0.39	0.40	0.25

Source: Authors’ analysis based on IHS4 and IHS5.

Discussion

- **Inequality is considerably higher in urban than in rural areas across both periods.** The urban Gini stands at 0.48 in 2016/2017, compared to 0.35 in rural areas — a gap of 13 points. By 2019/2020, this gap narrowed somewhat, with urban at 0.43 and rural at 0.37, but urban areas remain substantially more unequal. This persistent divide reflects the dual nature of Malawian cities, where a relatively wealthy minority coexists with a large urban poor population, while rural areas display lower measured inequality, largely reflecting shared poverty rather than shared prosperity.
- **Urban inequality fell substantially between the two waves**, with the Gini declining from 0.48 to 0.43. Rural inequality, by contrast, edged upward from 0.35 to 0.37. The Theil index GE(1) displayed the same general pattern as the Gini — greater reduction in urban areas than in rural areas — with the urban Theil falling sharply from 0.81 to 0.39, while the rural Theil declined more modestly from 0.40 to 0.25. Because the Gini and Theil operate on different scales, their levels cannot be compared against one another, but the consistency in direction across both indices strengthens the conclusion that urban inequality genuinely fell over this period.
- **In rural Malawi, consumption at the top converged toward the mean, but inequality in the middle of the distribution edged upward.** Although the rural Theil also fell, the rural Gini rose slightly, an apparent contradiction that arises because the two measures are sensitive to different parts of the distribution. Since GE(1) gives moderately greater weight to households above the mean, its decline suggests that upper-end dispersion within rural areas narrowed. The Gini’s modest increase, which is most sensitive to transfers around the middle of the distribution, reflects a slight widening of gaps among middle-ranking rural households.

¹In the Generalized Entropy class of inequality measures, the parameter α determines the sensitivity of the index to different parts of the income distribution. Lower values of α place greater weight on changes in the lower tail of the distribution, while higher values increase sensitivity to changes in the upper tail. With $\alpha = 1$, the Theil Index $GE(1)$ exhibits relatively balanced sensitivity across the distribution, although it is somewhat more responsive to deviations among higher incomes.

3.2 Lorenz Curves

Figures 2 and 3 plot the Lorenz curves for the rural and urban populations for 2016/2017 and 2019/2020.

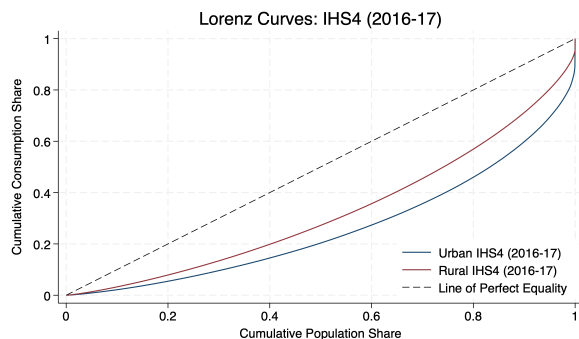


Figure 2: Lorenz Curve, 2016–2017 (IHS4)

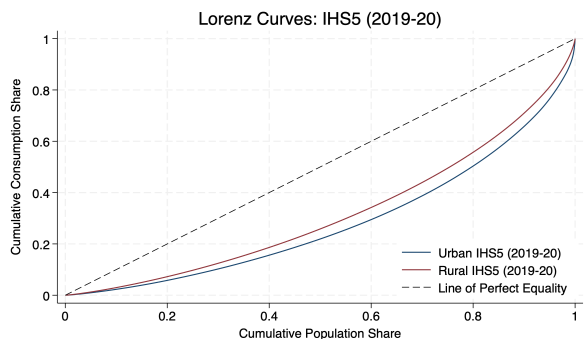


Figure 3: Lorenz Curve, 2019–2020 (IHS5)

- In 2016/2017, both curves bow significantly below the line of perfect equality, confirming substantial inequality in both urban and rural areas. The urban curve lies noticeably below the rural curve across the entire distribution, meaning that at every point, the poorest $x\%$ of urban households command a smaller share of total urban consumption than the equivalent share of rural households command of rural consumption. For example, the poorest 40% of urban households account for roughly 15% of urban consumption, while the poorest 40% of rural households account for approximately 20% of rural consumption. This is consistent with the urban Gini being considerably higher than the rural Gini.
- By 2019/2020, both curves remain well below the line of perfect equality, confirming that significant inequality persists in both areas. However, compared to 2016/2017, the two curves are much closer together. This convergence reflects the narrowing of both the Gini and the Theil between urban and rural areas over the period, and is consistent with the substantial fall in urban inequality documented above.
- Neither curve crosses the other in either period, meaning that rural areas are unambiguously more equal. The persistence of this gap across both waves highlights the heterogeneity of inequality in Malawi: urban and rural households face structurally different consumption distributions, and any analysis that aggregates them risks masking the considerably higher inequality concentrated within cities

IV. Conclusions and Policy Recommendations

Summary

The earlier Poverty Assessment was motivated by the apparent disconnect between macroeconomic growth and poverty outcomes in Malawi. Between 2004 and 2011 national poverty remained largely stagnant, declining only marginally from 52.4% to 50.7% despite sustained growth in gross domestic product. More recent data incorporating the IHS wave of 2019 to 2020 indicates a different trajectory. The national

headcount ratio declined from 44.7% in 2016-17 to 39.1% in 2019-20, suggesting that economic growth has begun to translate into measurable poverty reduction. Nevertheless the character of poverty in Malawi remains strongly structural and predominantly rural. Approximately 95 percent of the poor reside in rural areas, where the incidence of poverty is around 45% compared with 12.5% in urban areas. Poverty is also closely associated with demographic pressure and limited human capital, as households headed by individuals with only primary education experience significantly higher poverty rates than those with more advanced schooling.

The evolution of poverty contrasts with the trajectory of inequality. During the earlier period from 2004 to 2010 poverty remained largely unchanged while inequality increased substantially, with the Gini coefficient rising from 0.39 to 0.45. Economic growth in this period was therefore not broadly shared, as gains accrued disproportionately to the highest income groups while consumption among the bottom 40 percent declined. More recent patterns reveal a divergence between urban and rural areas. Inequality has fallen in urban centres, where the Gini coefficient declined from 0.48 to 0.43, indicating that urban growth has become more inclusive. In rural areas inequality has increased modestly from 0.35 to 0.37. Although rural areas appear more equal than urban ones in statistical terms, this largely reflects the persistence of widespread poverty rather than broadly distributed prosperity, as income differences have widened among households in the middle of the rural distribution.

Policy Implications for the Current Administration

The inclusion of the most recent wave of household survey data complements the conclusions of the Poverty in Malawi report by reinforcing many of its core findings while also refining the interpretation of Malawi's recent development trajectory. The earlier report emphasised the persistence of structural barriers that prevented households from moving out of poverty despite sustained macroeconomic growth. The updated analysis confirms that these barriers remain central determinants of welfare outcomes. In particular, the latest wave of data validates the importance of geographic remoteness, limited access to credit and low educational attainment as key correlates of poverty. Households located further from roads and markets continue to face higher transaction costs and reduced economic opportunities, while credit constraints limit the capacity of small producers and self employed households to invest in productive activities. Education also remains strongly associated with welfare outcomes, although the updated evidence suggests that the poverty reducing effect becomes statistically meaningful only beyond primary education. This finding refines the earlier emphasis on universal primary access by indicating that the ability to escape poverty is increasingly linked to progression into secondary and higher levels of schooling.

The additional data also changes the interpretation of the relationship between growth and poverty. The earlier assessment characterised Malawi as having an exceptionally low growth elasticity of poverty, since strong economic growth between 2004 and 2011 was not accompanied by meaningful reductions in poverty. The most recent wave suggests that this relationship may now be shifting. The distribution of welfare has moved consistently to the right, indicating that economic growth is beginning to translate into broader improvements in living standards. At the same time, the analysis reinforces the report's earlier observation that improvements in multidimensional indicators such as school enrolment and access to health services have not always translated into proportional improvements in monetary welfare. The new evidence strengthens the argument that policy must move beyond expanding the quantity of services toward improving their quality.

In the education sector this is particularly important, as learning outcomes in Malawi remain among the lowest in the region despite high levels of enrolment.

These results have several implications for the current administration. First, the evidence suggests that education policy should shift from a narrow focus on universal primary access toward improving retention and learning at the secondary level. The updated data show that the poverty reducing effect of education becomes significant only once individuals progress beyond primary schooling. Policies that support continued schooling for adolescents, particularly girls, therefore have the potential to generate substantial welfare gains. Second, the results reinforce the importance of rural infrastructure in shaping poverty outcomes. Since most poor households live in rural areas and depend on small scale agriculture or informal self employment, investments in road connectivity can reduce transaction costs, improve access to markets and increase the returns to productive activities. Sustained expansion and maintenance of rural transport networks therefore remains a critical component of an effective poverty reduction strategy.

Third, the findings suggest a need to reconsider the design of agricultural support policies. The Farm Input Subsidy Programme (FISP) has historically functioned both as a productivity intervention and as an implicit safety net. However, the evidence indicates that its poverty reduction impact is limited when it is used primarily as a transfer mechanism. A more effective approach would involve reorienting the programme toward raising agricultural productivity through a bundled technology strategy that combines fertiliser access with improved seed varieties and irrigation investments. Such an approach would better align the programme with its original objective of increasing yields and strengthening rural incomes.

The results also highlight the growing importance of demographic pressures in shaping Malawi's long term poverty trajectory. Rapid population growth increases dependency ratios and dilutes the gains generated by economic growth. The evidence therefore points to the need for policies that accelerate the fertility transition, including efforts to reduce child marriage and expand access to a broader range of contraception methods. Addressing these demographic constraints would strengthen the potential for Malawi to realise a demographic dividend and sustain reductions in poverty over time.

Finally, the analysis suggests that the effectiveness of existing safety net programmes remains limited by targeting challenges. Current pro poor transfers have relatively modest effects on food security and are characterised by substantial leakage to non poor households. Improving the targeting of these programmes through proxy means testing could increase their effectiveness by directing resources toward chronically poor households that face persistent structural constraints. Taken together, these policy implications suggest that while Malawi has recently begun to experience meaningful reductions in poverty, sustaining this progress will require a stronger emphasis on structural transformation, improvements in human capital quality and more effective targeting of public interventions.